

SALES TAX & SERVICE TAX

GUIDE ON:
RETURN AND PAYMENT

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CONTENTS

INTRODUCTION 1

OVERVIEW OF SERVICE TAX 1

OVERVIEW OF SALES TAX 1

SALES TAX AND SERVICE TAX DUE 2

SERVICE TAX DUE ON IMPORTED SERVICES 2

TAXABLE PERIOD OF SALES TAX AND SERVICE TAX 3

LAST DATE TO FURNISH FORM SST-02 & SST-02A 4

MANNER OF FURNISHING RETURN 4

POWER TO ASSESS 6

CORRECTION OF ERROR IN FORM SST-02/SST-02A 6

PAYMENT 7

METHOD OF PAYMENT 7

OFFICE HOURS AND HOURS OF PAYMENT 8

LAST DATE TO MAKE PAYMENT 9

DATE TO DETERMINE THE TIME OF PAYMENT RECEIVED 9

PENALTY FOR LATE PAYMENT OF TAX 9

FREQUENTLY ASKED QUESTIONS (FAQs) 11

INQUIRY 14

FURTHER ASSISTANCE AND INFORMATION ON SST 14

INTRODUCTION

1. This guide provides information pertaining to the requirements and procedures for declaration of SST-02 and SST-02A form and make payment under the Sales Tax Act 2018 and Service Tax Act 2018.

OVERVIEW OF SERVICE TAX

2. Service tax shall be charged and levied on any taxable services provided in Malaysia by a registered person in carrying on his business under the First Schedule of the Service Tax Regulations 2018 or any imported taxable services.

3. Taxable person is a taxable service provider who is liable to be registered under section 12 Service Tax Act 2018 with taxable service value exceeds RM500,000 or RM1,500,000 within the period of 12 months as stated under First Schedule Service Tax Regulations 2018. While, for any person who is regulated by Bank Negara Malaysia and provides credit card or charge card services through the issuances of a credit card or a charge card and any person who is given permission to act as an agent under section 90 of the Customs Act 1967, there is no limit on the value of taxable service prescribed.

OVERVIEW OF SALES TAX

4. Under the Sales Tax Act 2018, sales tax shall be charged and levied on all taxable goods manufactured in Malaysia by a registered manufacturer and sold, used or disposed of by him or imported into Malaysia by any person.

5. Taxable person means a registered manufacturer or manufacturer who is liable to be registered under section 12, Sales Tax Act 2018 with a sales value exceeding RM500,000 within 12 months.

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SALES TAX AND SERVICE TAX DUE

6. Every taxable person is required to account for service tax based on the payment basis where tax is required to be accounted for whenever the payment of services is received. However, registered persons can apply in writing to the Cawangan Dasar & Pelaksanaan Cukai Perkhidmatan under section 11(1A) of the Service Tax Act 2018 to account the service tax on an accrual basis (invoice issued).

7. For registered manufacturers, sales tax must be accounted for at the time the taxable goods are sold, disposed of otherwise than by sale, or first used otherwise than as materials in the manufacture of taxable goods, by the taxable person.

8. Every taxable person shall account for service tax and sales tax due in a return according to the prescribed taxable period. The return shall be furnished to the Director General not later than the last day of the month following the end of his taxable period using form SST-02. All particulars in form SST-02 shall contain a declaration that such return are true and complete and agree that any notice will be served to him through electronic service.

SERVICE TAX DUE ON IMPORTED SERVICES

9. Imported service tax is due at the time the payment is made or invoice is received or whichever is earlier.

10. A person other than a taxable person who acquired imported taxable services shall declare the tax as stated in section 26A Service Tax Act 2018 by using form SST-02A. The return shall be furnished to Director General not later than the last day of the following month after the payment has been made or invoice received. All particulars in SST-02A form shall contains a declaration that such return are true, accurate and complete and agree that any notice will be served to him through electronic service.

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TAXABLE PERIOD OF SALES TAX AND SERVICE TAX

11. The first taxable period shall begin from the date the registered person should have been registered and end on the last day of the following month. The subsequent taxable period shall be a period of two months ending on the last day of any month of any calendar year.

12. For example: Odd Financial Year End (FYE) Month. (If effective date of registration is 1st September 2018).

Month of Financial Year End	First Taxable Period	Return and Payment Period Due	Subsequent Taxable Period (Every Two Months)
January	1st to 30th September 2018	1st to 31st October 2018.	1st October to 30th November 2018, 1st December 2018 to 31st January 2019, 1st February to 31st March 2019 and subsequently.
March			
May			
July			
September			
November			

13. For example: Even Financial Year End (FYE) Month. (If effective date of registration is 1st September 2018).

Month of Financial Year End	First Taxable Period	Return and Payment Period Due	Subsequent Taxable Period (Every Two Months)
February	1st September 2018 to 31 October 2018	1st to 30th November 2018.	1st November to 31st December 2018, 1st January to 28th February 2019, 1st March to 30th April 2019 and subsequently.
April			
June			
August			
October			
December			

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14. However a registered person may apply in writing to the DG for a taxable period other than the period as determined above.

LAST DATE TO FURNISH FORM SST-02 & SST-02A

15. The taxable person must furnish the return through Form SST-02 to the Director General not later than the last day of the month following the end of the taxable period.

16. Where a taxable person's taxable period does not end on the last day of the month, the return should be furnished not later than the last day of the thirty-day period from the end of the varied taxable period.

17. Form SST-02A shall be furnished to the Director General not later than the last day of the following month after payment for the imported service has been made by him or the invoice has been received by him, whichever is earlier.

18. For the purpose of receiving returns and payment of sales tax and service tax, if the last day falls on the Federal weekly holiday or Federal public holiday then the last day to receive such return and payment is on the day immediately after the Federal weekly holiday or the Federal public holiday.

MANNER OF FURNISHING RETURN

19. Registered manufacturer and registered person and can access Form SST-02 through MySST system.

20. For person other than registered person must sign up as a user in the MySST system to gain access in order to submit Form SST-02A.

21. The return can be submitted through any of these means:

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(i) Log in to MySST System to submit electronically through MySST Portal by key-in 'User Id' and 'Password' (for further information, please refer System Guide - User Manual For Online Return and Payment Submission); **OR**

(ii) By posting to the Customs Processing Centre (CPC) :

(a) Download Form SST-02 or SST-02A from portal MySST and type in using **BLOCK LETTERS**. For further information, please refer Apendix II – Form SST-02 / SST-02A Return Guidelines (Manual Submission); and

(b) The completed form **must be posted** to the following address:

Customs Processing Centre (CPC),
Jabatan Kastam Diraja Malaysia,
Kompleks Kastam WPKL,
No. 22 Jalan SS 6/3 Kelana Jaya,
47301 Petaling Jaya, Selangor.

22. Form SST-02 / SST-02A which submitted by post, the receipt of the return is acknowledged based on the post-mark date. However, for the return submitted electronically, the receipt of the return is acknowledged based on the date received by the MySST system.

23. Form SST-02 should be furnished whether there is tax to be paid or not (NIL Return).

24. For service tax, where the whole or any part of the payment for any taxable service provided by the registered person is not received from the customer within a period of twelve (12) months from the date of the invoice for the taxable service provided, service tax shall be accounted on the day following that period of twelve (12) months.

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25. According to subsection 26(7) of the Sales Tax Act 2018, any registered manufacturer who contravenes subsection 26 (1), (2), (3) or (4) of the Sales Tax Act 2018 or furnishes an incorrect return shall be guilty of an offense and can be fined up to a maximum of RM50,000.00 or a maximum of 3 years imprisonment or both.

26. According to subsection 26(6) of the Service Tax Act 2018, any registered person who contravenes subsection 26 (1), (2) or (3) of the Service Tax Act 2018 or furnishes an incorrect return shall be guilty of an offense and can be fined up to a maximum of RM50,000.00 or a maximum of 3 years imprisonment or both.

27. Under subsection 26A(2), Service Tax Act 2018, any person other than taxable person who contravenes subsection 26A(1) or furnishes an incorrect return shall be guilty of an offense and can be fined up to a maximum of RM50,000.00 or a maximum of 3 years imprisonment or both.

POWER TO ASSESS

28. The Director General may assess to the best of his judgement the amount of tax due and payable and the penalty payable if any accordance with section 27 of the Sales Tax Act 2018 and the Service Tax Act 2018.

29. A notice of the assessment will be sent to the registered person in writing.

CORRECTION OF ERROR IN FORM SST-02/SST-02A

30. Any person who makes an error in any Form SST-02 / SST-02A furnished under the Sales Tax Act 2018 and the Service Tax Act 2018 shall correct it in the MySST system according to the following circumstances:

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SITUATION	ACTION
Before due date and payment **not** made	No limitation for amendment.
Before due date and payment **was** made	No amendment allowed.
After due date of return submission	No amendment allowed.

31. Any correction that cannot be made through MySST system, application must be sent in writing to the controlling station for verification purposes.

PAYMENT

32. Any person who is required to furnish the Form SST-02/ SST-02A must pay to the Director General the amount of tax due and payable by him.

METHOD OF PAYMENT

33. Payment of tax can be made electronically through the MySST system (Financial Process Exchange (FPX)) or manually by cheque or bank draft only. Only full payment can be made through online. Any payment in cash is **not allowed.**

34. Maximum payment for Corporate Account (B2B) is RM100 million and for individual (B2C) is RM100,000. If the total paid amount exceeded the maximum limit, payment should be made manually by cheque or bank draft and post it to **Customs Processing Center**.

35. For manual payment, **cheque or bank draft must be attach together with Form SST-02 / SST-02A** which have been submitted and post to:

Customs Processing Center (CPC)
Jabatan Kastam Diraja Malaysia
Kompleks Kastam WPKL
No. 22 Jalan SS 6/3 Kelana Jaya
47301 Petaling Jaya, Selangor.

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36. Cheque or bank draft must be in the name of **KETUA PENGARAH KASTAM MALAYSIA**.

37. For return and payment which are submitted manually, cheque or bank draft must be submitted together with the complete return by post only.

38. The important information that needs to be written on the back of the cheque:

(i) Company Name – e.g. : *Syarikat ABC*
(ii) SST Number– : e.g. : W24-1808- 31006XXX
(iii) Taxable Period (Form SST-02) – e.g. : *01.09.2018 – 30.09.2018*
(iv) Declaration Period (Form SST-02A) – 01.07.2019 – 31.08.2019
(v) Telephone Number – e.g : *03-8888 9999*

OFFICE HOURS AND HOURS OF PAYMENT

39. Electronic payment can be made at any time (24 hours) while manual payment is based on normal business hours of sales and service tax administration office which open at the following times:

(i) For the state of Malacca, Negeri Sembilan, Pahang, Perak, Perlis, Penang, Selangor, Sarawak, Sabah and Federal Territories (Kuala Lumpur, Putrajaya and Labuan) where the weekly holidays are Saturday and Sunday, the hours shall be from 8.00 am to 5.00 pm on Monday to Friday.

(ii) For the state of Johore, Kedah, Kelantan and Terengganu where the weekly holidays are Friday and Saturday, the hours shall be:

(a) From 8.00 am to 5.00 pm on Sunday to Wednesday; and
(b) From 8.00 am to 3.30 pm on Thursday

40. Pursuant to regulation 35 (2) of the Sales Tax Regulations 2018 and regulation 28 (2), Service Tax Regulations 2018 for the purpose of receiving return and payments of tax, penalty, surcharge, fee and other payment via the electronic service, normal

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time is from 7.30am to 11.30pm on any day of the week. Electronic payment transactions made after 11.30 pm shall be deemed to receive on the following day.

41. If the last day of payment falls on the Federal public holiday or Federal weekly holiday then the last day to make payment is on the day immediately after the Federal public holiday or Federal weekly holiday.

LAST DATE TO MAKE PAYMENT

42. Any tax due in respect of a taxable period or declaration period, shall be paid not later than the last day on which he is required to furnish Form SST-02/ SST-02A.

DATE TO DETERMINE THE TIME OF PAYMENT RECEIVED

43. For payments submitted by electronic, the date of payment received is based on the date generated by the MySST system. If payment is made through FPX, only full payment is allowed.

44. For payments (cheque/ bank drafts) submitted by post, the date of payment received is on the date of post mark.

45. For payments submitted by courier services, the date of payment received is on the date the tracking number is recorded in the courier services company's system (tracking system).

PENALTY FOR LATE PAYMENT OF TAX

46. Where any tax due and payable is not paid wholly or partly by any person after the last day on which it is due and payable and no prosecution is instituted, the person shall pay a penalty:-

(i) For the first thirty-day period, that the service tax is not paid wholly or partly after the expiry of the period, a penalty of ten percent of the amount of tax remain unpaid;

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(ii) For the second thirty-day period that the service tax is not paid wholly or partly after the expiry of the period, an additional penalty of fifteen percent of the amount of tax remain unpaid;

(iii) For the third thirty-day period that the service tax is not paid wholly or partly after the expiry of the period, an additional penalty of fifteen percent of the amount of tax remain unpaid.

Period of late payment of tax	**Rate of Penalty**
1 to 30 days from the 1st day after due date	10%
31 to 60 days from the 1st day after due date	10% + 15% = 25%
61 to 90 days from the 1st day after due date	10% + 15% + 15% = 40%
91 days and above from the 1st day after due date	**40% (maximum) (10% + 15% + 15%)**

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FREQUENTLY ASKED QUESTIONS (FAQs)

Return

1. **Q** : **What is the difference between Form SST-02 and SST-02A?**

   A : Form SST-02 can only be used by taxable person registered under Sales Tax Act 2018 or Service Tax Act 2018. While Form SST-02A can only be used by any person other than taxable person who acquired imported taxable service.

2. **Q** : **Can I submit Form SST-02 / SST-02A manually?**

   A : Yes. Form SST-02 / SST-02A can be submitted manually by means:

   (i) Download Form SST-02 / SST-02A from portal MySST and type in by using **BLOCK LETTER**; and

   (ii) The complete form **MUST BE POSTED** to the following address:

   Customs Processing Centre (CPC)
   Jabatan Kastam Diraja Malaysia,
   Kompleks Kastam WPKL,
   No. 22 Jalan SS 6/3 Kelana Jaya,
   47301 Petaling Jaya, Selangor.

3. **Q** : **Can I amend the SST-02 / SST-02A after it has been submitted?**

   A : Yes. An Amendment can be made based on the following condition;

SITUATION	ACTION
Before due date and payment **not** made	No limitation for amendment.
Before due date and payment **was** made	No amendment allowed.
After due date of return submission	No amendment allowed.

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4. **Q** : **I have submitted Form SST-02 for taxable period of November-December 2018 and the payment has been made. However, there are still tax which have not been declared for that taxable period. What should I do?**

   A : The Supplement link can be used to declare the amount of tax which have not been declared. The Supplement link can be found on that taxable period in MySST system.

5. **Q** : **In relation with question 4, if I declare the tax after the due date, can I still declare the tax through Supplement link?**

   A : Yes. however, there will be penalty imposed as stated in paragraph 46 (iii).

6. **Q** : **If I overpaid the tax, what should I do?**

   A : Any person who has overpaid or erroneously paid any service tax, surcharge, penalty, fee or other money may make a claim for refund through Form JKDM No.2 and submit it to controlling station. Please refer General Guide for further information.

PAYMENT

7. **Q** : **What is the method of payment for SST?**

   A : The Payment of SST can be made via two (2) method as follows:

   (i) Eelectronically through the MySST system (Financial Process Exchange (FPX); OR

   (ii) Manually by cheque or bank draft. Cash payment is not allowed.

8. **Q** : **Can the payment be made manually at any nearest Customs station?**

   A : No. Manual payment can **ONLY** be made by posting to Customs Processing Centre (CPC).

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9. **Q** : **If I choose to make payment manually, what are the required documents?**

A : For manual payment method, the following documents must be submitted:

(i) Copy of completed Form SST-02 / SST-02A if already submitted online; or

(ii) Completed Form SST-02 / SST-02A that you want to submit manually to CPC; and

(iii) The important *information* that need to be provided on the back of the cheque*:*

a) Company Name – e.g. : *Syarikat ABC*

b) SST Number– : e.g. W24-YYMM-XXXXXXXX

c) Taxable Period (Form SST-02) – e.g. : *01.09.2018 – 30.09.2018*

d) Declaration period (Form SST-02A) – 01.07.2019 – 31.08.2019

e) Telephone Number – e.g : *03-8888 9999*

10. **Q** : **If I choose to make payment online (via FPX), when is my transaction is considered received?**

A : For payments submitted electronically, the date of payment received is based on the date generated by the MySST system. For the purpose of receiving payment of taxes, penalties, surcharges and other money through electronic services, the normal time is from 7.30 am to 11.30 pm on any day of the week.

11. **Q** : **If the last day of SST payment falls on a Federal public holiday or Federal weekly holiday, when is the due date of the payment?**

A : If the last day of tax payment falls on a Federal public holiday or Federal weekly holiday, the last day to submit a payment is on the next working day after the Federal public holiday or Federal weekly holiday.

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INQUIRY

For any inquiries for this guide please contact:

Bahagian Cukai Dalam Negeri
Cawangan Kawalan dan Pemantauan Cukai Dalam Negeri
Jabatan Kastam Diraja Malaysia
Aras 7, Blok A, Menara Tulus,
No. 22, Persiaran Perdana, Presint 3,
62100 Putrajaya.

FURTHER ASSISTANCE AND INFORMATION ON SST

Further information on SST can be obtained from:

(i) SST website : https://mysst.customs.gov.my

(ii) Customs Call Center:

- Tel : 03-7806 7200 / 1-300-888-500
- Fax : 03-7806 7599
- Email : ccc@customs.gov.my

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